management

ninth edition

STEPHEN P. ROBBINS MARY COULTER

Chapter 3

Managing the External Environment and the Organization's Culture

© 2007 Prentice Hall, Inc.
All rights reserved.

PEARSON Prentice Hall

PowerPoint Presentation by Charlie Cook
The University of West Alabama

LEARNING OUTLINE

Follow this Learning Outline as you read and study this chapter.

- **The Manager: Omnipotent or Symbolic**
  - Contrast the action of manager according to the omnipotent and symbolic views.
  - Explain the parameters of managerial discretion.
- **The Organization's Culture**
  - Describe the seven dimensions of organizational culture.
  - Discuss the impact of a strong culture on organizations and managers.
  - Explain the source of an organization's culture.
  - Describe how culture is transmitted to employees.
  - Describe how culture affects managers.

© 2007 Prentice Hall, Inc. All rights reserved.

LEARNING OUTLINE (cont'd)

Follow this Learning Outline as you read and study this chapter.

- **Current Organizational Cultural Issues Facing Managers**
  - **Describe the characteristics of an ethical culture, an innovative culture, and a customer-responsive culture.**
  - **Discuss why workplace spirituality seems to be an important concern.**
  - **Describe the characteristics of a spiritual organization.**

© 2007 Prentice Hall, Inc. All rights reserved.

LEARNING OUTLINE (cont'd)

Follow this Learning Outline as you read and study this chapter.

- **The Environment (cont'd)**
  - **Describe the components of the specific and general environments.**
  - **Discuss the two dimensions of environmental uncertainty.**
  - **Identify the most common organizational stakeholders.**
  - **Explain the four steps in managing external stakeholder relationships.**

© 2007 Prentice Hall, Inc. All rights reserved.

Reading an Organization's Culture: Find One Where You'll Be Happy

- 🧠 **Why Is This Important?**
- If the culture **fits you**, you're more likely to:
- Enjoy your job
- Stay longer
- Do better work
- Get along with your team
- Feel motivated and comfortable

© 2007 Prentice Hall, Inc. All rights reserved.

How Can You “Read” Organization Culture?

1. Do background work.
2. Observe the physical surroundings and corporate symbols.
3. How would you characterize the people you meet?
4. Look at the organization’s HR manual.
5. Ask questions of the people you meet.

© 2007 Prentice Hall, Inc. All rights reserved.

The Manager: Omnipotent or Symbolic?

- Omnipotent View of Management
  - Managers are directly responsible for an organization's success or failure.
  - The quality of the organization is determined by the quality of its managers.
  - Managers are held accountable for an organization's performance yet it is difficult to attribute good or poor performance directly to their influence on the organization.

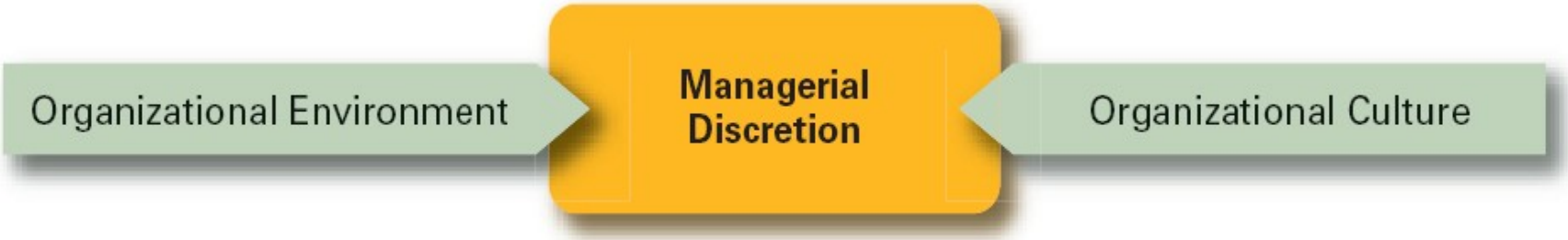
© 2007 Prentice Hall, Inc. All rights reserved.

The Manager: Omnipotent or Symbolic?

- Symbolic View of Management
  - Much of an organization's success or failure is due to external forces outside of managers' control.
  - The ability of managers to affect outcomes is influenced and constrained by external factors.
    - The economy, customers, governmental policies, competitors, industry conditions, technology, and the actions of previous managers
  - Managers symbolize control and influence through their action.

© 2007 Prentice Hall, Inc. All rights reserved.

Exhibit 3–1 Parameters of Managerial Discretion



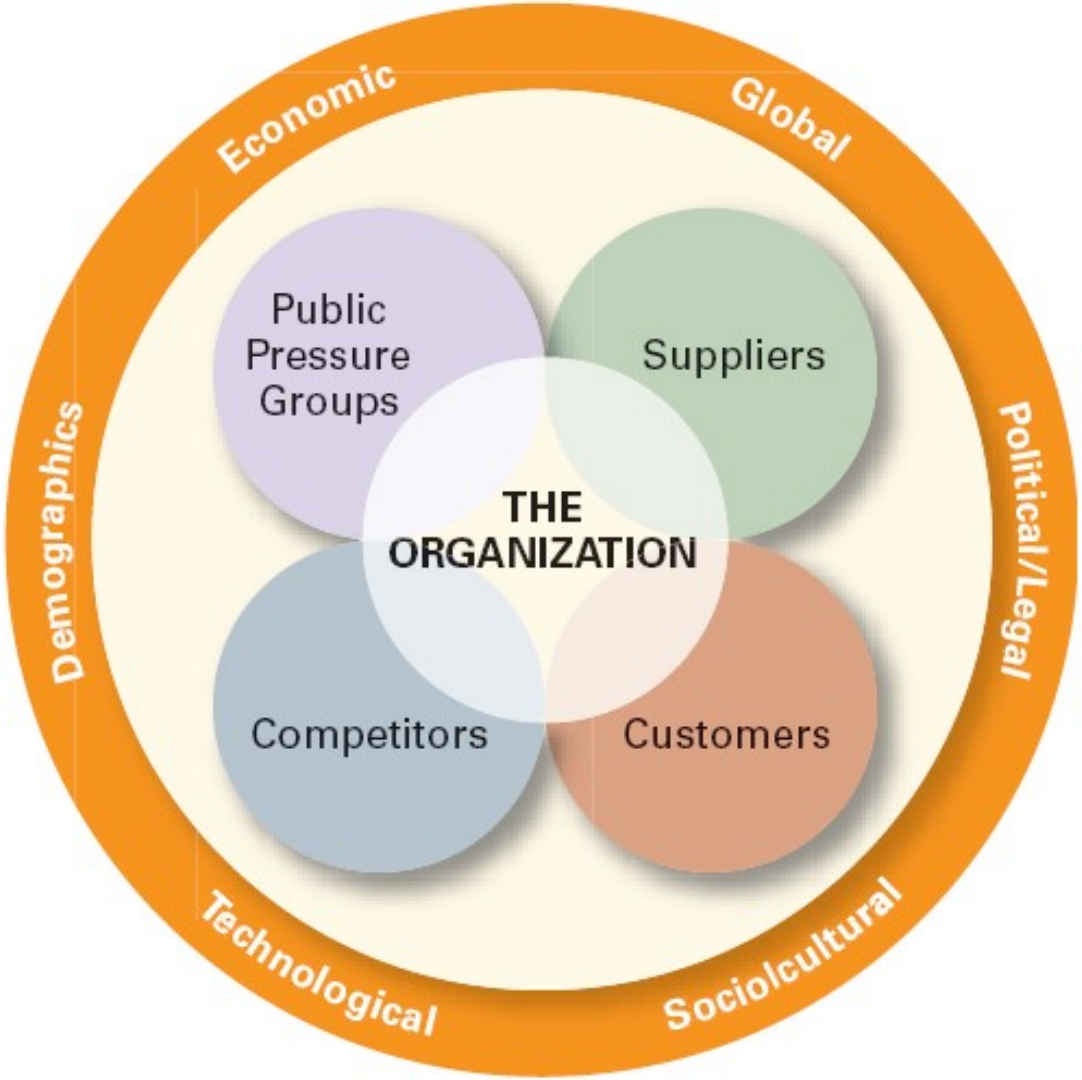
© 2007 Prentice Hall, Inc. All rights reserved.

Defining the External Environment

- External Environment
  - Those factors and forces outside the organization that affect the organization's performance.
- Components of the External Environment
  - **Specific environment:** external forces that have a direct and immediate impact on the organization.
  - **General environment:** broad economic, socio-cultural, political/legal, demographic, technological, and global conditions that *may* affect the organization.

© 2007 Prentice Hall, Inc. All rights reserved.

Exhibit 3–9 The External Environment



© 2007 Prentice Hall, Inc. All rights reserved.

Example – BMW:

- Digital technology changed how people shop for and buy things.
- BMW saw this and changed how their car dealerships work.
- Instead of the usual car showroom with salespeople and cars in rows, they now have **“BMW Geniuses”** – people who help customers understand the high-tech features in cars (like Apple does in their stores).
- Other car companies (like General Motors) are also changing how they do things because of technology.

INTRODUCING THE BMW GENIUS.

BMW Geniuses are knowledgeable, dynamic and tech-savvy BMW product experts who will assist you with finding a vehicle that is perfectly suited to your needs. They will help you with booking a test drive, will ensure that you understand the many exciting features of your vehicle and will answer any questions that you may have. BMW Geniuses are also available to advise existing BMW owners who may return with their vehicle to ask after-sales questions about its features.

Find a Dealer | **BMW How To YouTube Playlist**

PASSIONATE ABOUT CARS AND CUSTOMER SERVICE.

To help you enjoy everything your BMW has to offer, BMW Geniuses are now available at select retailers to provide you with a pressure-free product presentation to bring you closer to our product.

How the Environment Affects Managers

Environmental Uncertainty

- What Is Environmental Uncertainty?
- Environmental uncertainty refers to how much and how quickly things change in the external environment of an organization and how complex those external elements are.
- The matrix in Exhibit 3–11 helps managers understand the environment they are operating in using **two dimensions**:

❑ **Degree of Change**

Stable: Predictable, slow or no change.

Dynamic: Unpredictable, frequent and rapid change.

❑ **Degree of Complexity**

Simple: Few components (e.g., few competitors, suppliers, or stakeholders).

Complex: Many components, often very different and requiring specialized knowledge.

© 2007 Prentice Hall, Inc. All rights reserved.

Exhibit 3–11 Environmental Uncertainty Matrix

Degree of Complexity	Degree of Change: Stable	Degree of Change: Dynamic
Simple	**Cell 1** Stable and predictable environment Few components in environment Components are somewhat similar and remain basically the same Minimal need for sophisticated knowledge of components	**Cell 2** Dynamic and unpredictable environment Few components in environment Components are somewhat similar but are in continual process of change Minimal need for sophisticated knowledge of components
Complex	**Cell 3** Stable and predictable environment Many components in environment Components are not similar to one another and remain basically the same High need for sophisticated knowledge of components	**Cell 4** Dynamic and unpredictable environment Many components in environment Components are not similar to one another and are in continual process of change High need for sophisticated knowledge of components

© 2007 Prentice Hall, Inc. All rights reserved.

.

Cell	Environment	Change	Complexity	Manager Needs
1	Simple + Stable	Low	Low	Easy to manage
2	Simple + Dynamic	High	Low	Some flexibility needed
3	Complex + Stable	Low	High	Needs expert knowledge
4	Complex + Dynamic	High	High	Very challenging; needs strong management skills

📈 **Why This Matrix Matters**

Managers use this matrix to:

•**Assess risks** in their environment.

•Decide **how flexible or structured** their organization needs to be.

•**Adapt their strategy** to the level of uncertainty.

- **Cell 1**: You can plan long-term and standardize processes.
- **Cell 4**: You need agility, constant market scanning, and innovation.

© 2007 Prentice Hall, Inc. All rights reserved.

Who Are Stakeholders?

Stakeholders

- Any constituencies in the organization's environment that are affected by the organization's decisions and actions

What Does It Mean?

- Stakeholders are people or groups affected by what a business does — and they can also affect the business in return.

Inside or Close to the Organization:

Employees: People who work for the company.

Unions: Groups that represent employees to protect their rights.

Shareholders: People or companies that own part of the business.

Suppliers: Businesses that provide the materials or products needed.

Customers: People who buy the products or services.

© 2007 Prentice Hall, Inc. All rights reserved.

Stakeholder Relationships

- Managing relationships with these stakeholders is a key job for managers, because strong relationships = better results

Why Manage Stakeholder Relationships?

It can lead to improved organizational performance.

They can support or harm the business, so managers must work with them.

© 2007 Prentice Hall, Inc. All rights reserved.

🎬 Example: YouTube

- YouTube became successful because it built good relationships with its stakeholders:
  - **Viewers** (people who watch videos)
  - **Content creators** (celebrities, influencers, everyday people)
  - **Public service groups** (e.g., for educational or social awareness content)

By keeping these groups happy, YouTube has grown into one of the biggest media platforms.

© 2007 Prentice Hall, Inc. All rights reserved.

Managing Stakeholder Relationships

1. Identify the organization's external stakeholders.
2. Determine the particular interests and concerns of the external stakeholders.
3. Decide how critical each external stakeholder is to the organization.
4. Determine how to manage each individual external stakeholder relationship.

© 2007 Prentice Hall, Inc. All rights reserved.

Exhibit 3–12 Organizational Stakeholders

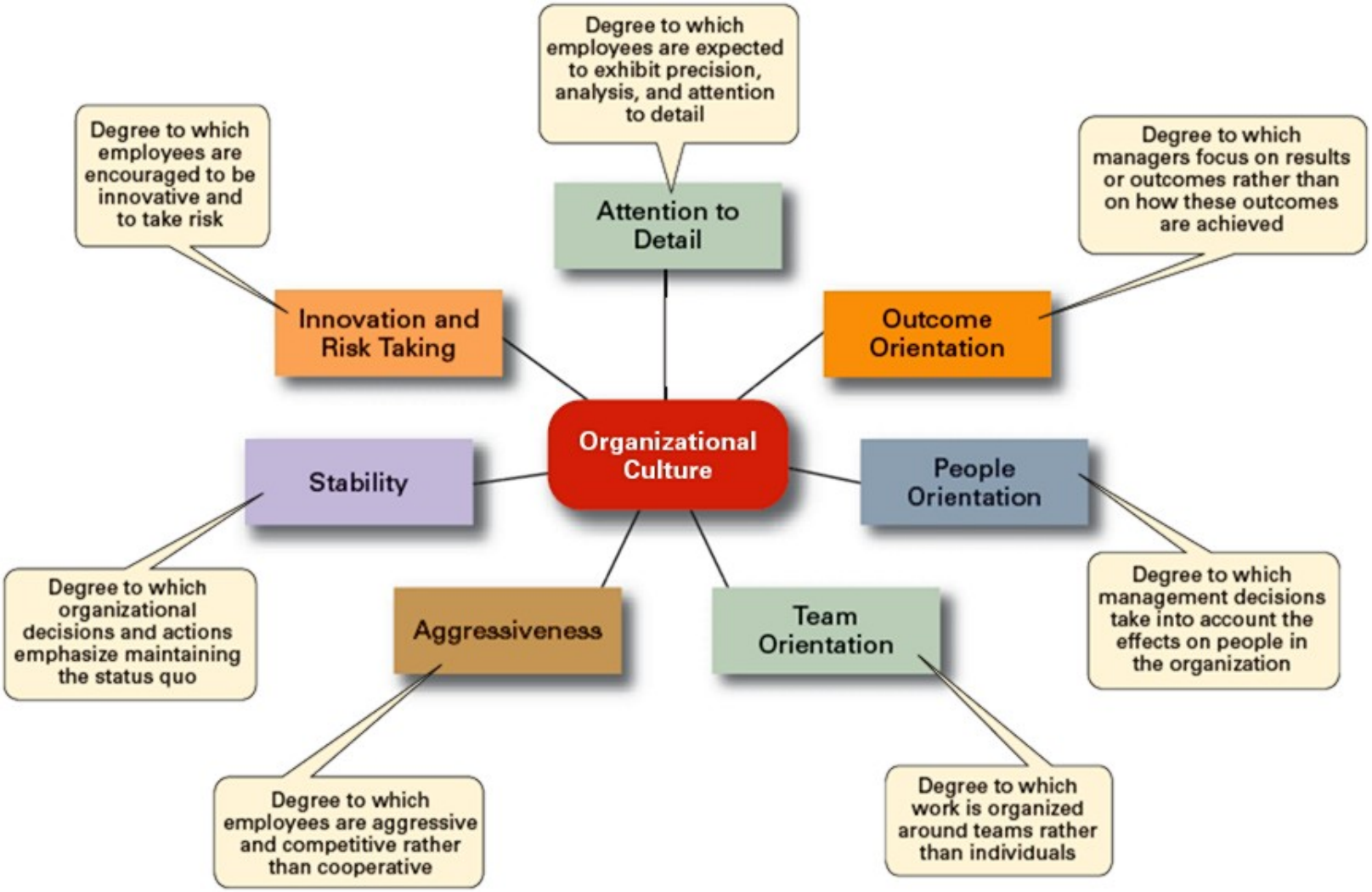
© 2007 Prentice Hall, Inc. All rights reserved.

The Organization's Culture

- Organizational Culture
  - A system of shared meanings and common beliefs held by organizational members that determines, in a large degree, how they act towards each other.
  - "The way we do things around here."
    - Values, symbols, rituals, myths, and practices
  - Implications:
    - Culture is a perception.
    - Culture is shared.
    - Culture is descriptive.

© 2007 Prentice Hall, Inc. All rights reserved.

Exhibit 3–2 Dimensions of Organizational Culture



© 2007 Prentice Hall, Inc. All rights reserved.

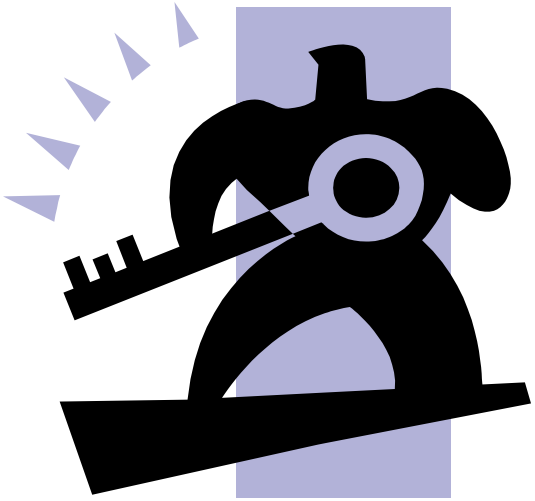
Strong versus Weak Cultures

- Strong Cultures
  - Are cultures in which key values are deeply held and widely held.
  - Have a strong influence on organizational members.
- Factors Influencing the Strength of Culture
  - Size of the organization
  - Age of the organization
  - Rate of employee turnover
  - Strength of the original culture
  - Clarity of cultural values and beliefs

© 2007 Prentice Hall, Inc. All rights reserved.

Benefits of a Strong Culture

- Creates a stronger employee commitment to the organization.
- Aids in the recruitment and socialization of new employees.
- Fosters higher organizational performance by instilling and promoting employee initiative.



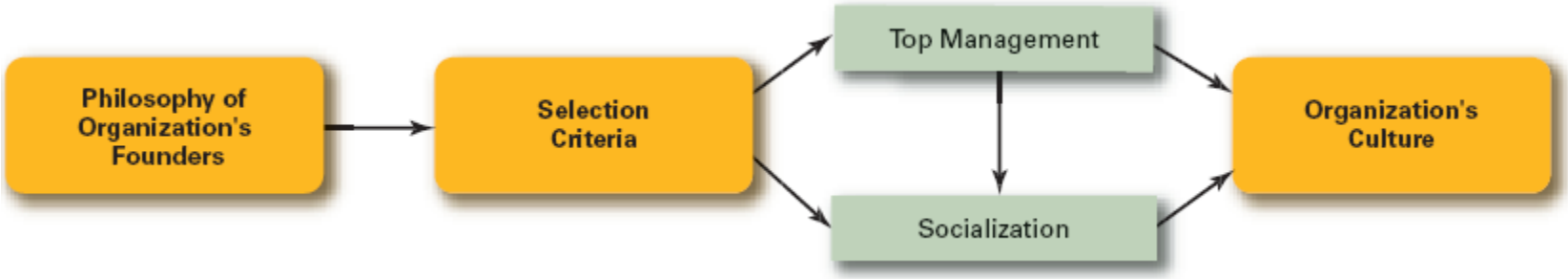
© 2007 Prentice Hall, Inc. All rights reserved.

Organizational Culture

- Sources of Organizational Culture
  - The organization's founder
    - Vision and mission
  - Past practices of the organization
    - The way things have been done
  - The behavior of top management
- Continuation of the Organizational Culture
  - Recruitment of like-minded employees who "fit"
  - **Socialization** of new employees to help them adapt to the culture

© 2007 Prentice Hall, Inc. All rights reserved.

Exhibit 3–5 How an Organization's Culture Is Established and Maintained



© 2007 Prentice Hall, Inc. All rights reserved.

Exhibit 3–4 Strong versus Weak Organizational Cultures

Strong Cultures	Weak Cultures
Values widely shared	Values limited to a few people—usually top management
Culture conveys consistent messages about what's important	Culture sends contradictory messages about what's important
Most employees can tell stories about company history/heroes	Employees have little knowledge of company history or heroes
Employees strongly identify with culture	Employees have little identification with culture
Strong connection between shared values and behaviors	Little connection between shared values and behaviors

© 2007 Prentice Hall, Inc. All rights reserved.

Feature	**Strong Culture**	**Weak Culture**
Shared Values	Across all employees	Only top management
Communication	Clear and consistent	Contradictory and unclear
Company Stories	Known and retold	Rare or unknown
Employee Identification	Strong connection	Weak or nonexistent
Alignment	Values match behaviors	Values don’t guide behavior

© 2007 Prentice Hall, Inc. All rights reserved.

How Employees Learn Culture

- Stories
  - Narratives of significant events or actions of people that convey the spirit of the organization
- Rituals
  - Repetitive sequences of activities that express and reinforce the values of the organization
- Material Symbols
  - Physical assets distinguishing the organization
- Language
  - Acronyms and jargon of terms, phrases, and word meanings specific to an organization

© 2007 Prentice Hall, Inc. All rights reserved.

How Culture Affects Managers

- Cultural Constraints on Managers
  - Whatever managerial actions the organization recognizes as proper or improper on its behalf
  - Whatever organizational activities the organization values and encourages
  - The overall strength or weakness of the organizational culture

Simple rule for getting ahead in an organization:

Find out what the organization rewards and do those things.

© 2007 Prentice Hall, Inc. All rights reserved.

Exhibit 3–6 Managerial Decisions Affected by Culture

- **Planning**
  - The degree of risk that plans should contain
  - Whether plans should be developed by individuals or teams
  - The degree of environmental scanning in which management will engage
- **Organizing**
  - How much autonomy should be designed into employees' jobs
  - Whether tasks should be done by individuals or in teams
  - The degree to which department managers interact with each other

© 2007 Prentice Hall, Inc. All rights reserved.

Exhibit 3–6 Managerial Decisions Affected by Culture (cont'd)

- **Leading**
  - The degree to which managers are concerned with increasing employee job satisfaction
  - What leadership styles are appropriate
  - Whether all disagreements—even constructive ones—should be eliminated
- **Controlling**
  - Whether to impose external controls or to allow employees to control their own actions
  - What criteria should be emphasized in employee performance evaluations
  - What repercussions will occur from exceeding one's budget

© 2007 Prentice Hall, Inc. All rights reserved.

Organization Culture Issues

- Creating an Ethical Culture
  - High in risk tolerance
  - Low to moderate aggressiveness
  - Focus on means as well as outcomes
- Creating an Innovative Culture
  - Challenge and involvement
  - Freedom
  - Trust and openness
  - Idea time
  - Playfulness/humor
  - Conflict resolution
  - Debates
  - Risk-taking

© 2007 Prentice Hall, Inc. All rights reserved.

Exhibit 3–7 Suggestions for Managers: Creating a More Ethical Culture

- Be a *visible role model*.
- Communicate *ethical expectations*.
- Provide *ethics training*.
- Visibly *reward ethical acts and punish unethical ones*.
- Provide *protective mechanisms* so employees can discuss ethical dilemmas and report unethical behavior without fear.

© 2007 Prentice Hall, Inc. All rights reserved.

Organization Culture Issues (cont'd)

- Creating a Customer-Responsive Culture
  - Hiring the right type of employees (ones with a strong interest in serving customers)
  - Having few rigid rules, procedures, and regulations
  - Using widespread empowerment of employees
  - Having good listening skills in relating to customers' messages
  - Providing role clarity to employees to reduce ambiguity and conflict and increase job satisfaction
  - Having conscientious, caring employees willing to take initiative

© 2007 Prentice Hall, Inc. All rights reserved.

Exhibit 3–8 Suggestions for Managers: Creating a More Customer-Responsive Culture

- Hire service-contact people with the personality and attitudes consistent with customer service—friendliness, enthusiasm, attentiveness, patience, concern about others, and listening skills.
- Train customer service people continuously by focusing on improving product knowledge, active listening, showing patience, and displaying emotions.
- Socialize new service-contact people to the organization's goals and values.
- Design customer-service jobs so that employees have as much control as necessary to satisfy customers.
- Empower service-contact employees with the discretion to make day-to-day decisions on job-related activities.
- As the leader, convey a customer-focused vision and demonstrate through decisions and actions the commitment to customers.

© 2007 Prentice Hall, Inc. All rights reserved.

Spirituality and Organizational Culture

- Workplace Spirituality
  - The recognition that people have an inner life that nourishes and is nourished by meaningful work that takes place in the context of community.
- Characteristics of a Spiritual Organization
  - Strong sense of purpose
  - Focus on individual development
  - Trust and openness
  - Employee empowerment
  - Toleration of employees' expression

© 2007 Prentice Hall, Inc. All rights reserved.

Benefits of Spirituality

- Improved employee productivity
- Reduction of employee turnover
- Stronger organizational performance
- Increased creativity
- Increased employee satisfaction
- Increased team performance
- Increased organizational performance

© 2007 Prentice Hall, Inc. All rights reserved.

Terms to Know

- omnipotent view of management
- symbolic view of management
- organizational culture
- strong cultures
- socialization
- workplace spirituality
- external environment
- specific environment
- general environment
- environmental uncertainty
- environmental complexity
- stakeholders

© 2007 Prentice Hall, Inc. All rights reserved.